The 241(a): HUD's Most Powerful Program *Most Sponsors Have Never Used*

A Practitioner's Guide to the Supplemental Construction Loan

Most conversations about HUD multifamily financing start and end with the 223(f), the 221(d)(4), and occasionally the 223(a)(7). The 241(a) Supplemental Loan almost never comes up — despite offering ground-up construction financing for additional units at 90% LTC on top of an existing HUD mortgage, without Davis-Bacon wage requirements if the underlying loan is a 223(f). For a long time, a structural legal problem made the program's most powerful feature nearly impossible to use. That problem has been solved. This article explains what the 241(a) actually is, why it was underutilized, what changed, and when it should be on your radar.

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I'm sure you have been cold called many times from a lender pitching HUD's most well-known loan products — a 223(f) refinance, a 221(d)(4) new construction loan, or maybe a 223(a)(7) if rates are low and you already have a HUD loan. These are HUD's three marquee products, and we have closed most of our deals on one of those three. But HUD's most powerful product is one that almost never comes up in those calls: the 241(a). The 241(a) has been in the MAP Guide for decades and was historically used for capital expenditures — Brian actually underwrote one to fund a new clubhouse. What most sponsors don't know is that the MAP Guide also allows the 241(a) to finance **ground-up construction of additional units**, at 90%

LTC, on top of an existing HUD mortgage. For a long time, a structural legal problem made that feature nearly impossible to use, but some legal work done a few years ago resolved it. This article explains what the program actually is, why it was underutilized, what changed, and when it should be on your radar.

01

PROGRAM OVERVIEW

What Is the HUD 241(a) Supplemental Loan — *and How Is It Different?*

The 241(a) is labeled a "Supplemental Loan," but it isn't a supplemental loan in the way most sponsors think of the term. When Fannie Mae or Freddie Mac offer a supplemental loan, they mean a second mortgage that lets the borrower pull equity out of an existing asset. Say you have a $20 million FNMA mortgage on a project that's now worth $40 million — you can keep the existing loan and close a new $10 million supplemental on top of it. That's what most sponsors picture when they hear "supplemental." Unfortunately, HUD doesn't have that product.

The 241(a) is a supplemental loan in a different sense. Per the MAP Guide, it "provides financing for improvements or additions to properties with a HUD-insured first mortgage." The proceeds have to go toward improving or expanding the existing collateral — not pulling out equity. Historically, that meant funding large capital expenditures: a major building systems replacement, a clubhouse, a significant amenity addition. What most sponsors miss is the next line in the MAP Guide: *"Construction of additional units, or expansion of the footprint of the existing building, is allowed, so long as the number of units in the new addition is equal to or less than the existing building."* So if you have an existing 250-unit project with a HUD mortgage, you can use a 241(a) to build up to 250 more units as a Phase 2 — at 90% LTC, at a 1.11x combined DSCR.

> **THE CAP ON NEW UNITS**
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> The MAP Guide caps the number of new units at the existing building's unit count. A 100-unit property supports up to 100 new units; a 250-unit property supports up to 250. The cap is based on unit count only — the new units don't have to match the existing unit configuration or bedroom mix.

02

UNDERWRITING PARAMETERS

HUD 241(a) Loan Terms: 90% LTC and the *Combined DSCR*

The 241(a)'s underwriting parameters are more aggressive than any other HUD construction product. The maximum LTC is 90% — compared to 87% for a 221(d)(4) on a market-rate project. The minimum DSCR is 1.11x. But the really important thing to understand about that 1.11x is that it's a **combined** DSCR across both the existing HUD mortgage and the new 241(a) loan — not a standalone test on just the new phase.

Say your existing 250-unit project is comfortably performing at a 1.35x DSCR on its HUD mortgage. The 1.11x minimum only requires that the combined debt service on both loans be covered at 1.11x. That means however much NOI the existing project is generating above 1.11x coverage on its own loan, that excess NOI can be applied toward the new phase's 1.11x test. For a well-stabilized existing asset — especially one that has been paying down its loan balance for years — this can result in construction leverage that would be very hard to replicate anywhere else. In fact, we have had multiple developers look at their 241(a) loan sizing and decide they wanted to voluntarily lower the loan amount because they weren't comfortable being that levered.

PARAMETER	HUD 241(A)	HUD 221(D)(4) — MARKET RATE
Max Loan-to-Cost	**90%**	87%
Min DSCR	**1.11x (combined)**	1.15x (standalone)
Davis-Bacon Wages	**Inherited from underlying loan**	Always required
Loan Term	**Co-terminous with existing mortgage**	Up to 40 years from construction close
Working Capital Escrow	**Required**	Required
Initial Operating Deficit Escrow	**Required**	Required
Land as Equity	**Permitted**	Permitted
Existing HUD Mortgage Required	**Yes**	No

One more leverage point worth noting: land equity can be used as a source of funds. If the new development parcel is contributed at an established value, that equity reduces the cash requirement below the 10% implied by the 90% LTC cap. For sponsors who have controlled neighboring land for several years, the appreciation in that land's value can meaningfully lower the actual cash out of pocket.

03

A MATERIAL COST ADVANTAGE

Does the HUD 241(a) Require Davis-Bacon Wages? *It Depends on the Underlying Loan*

Davis-Bacon prevailing wage requirements are one of the biggest knocks on HUD construction lending. Under the 221(d)(4), Davis-Bacon applies to every project, no exceptions. It requires that all construction workers be paid at locally prevailing wage rates — which for many labor categories run meaningfully above market — and the reporting and compliance overhead adds another layer of cost and time on top of the wage differential itself.

The 241(a) handles Davis-Bacon differently. Since the 241(a) is a supplemental loan, Davis-Bacon applicability is triggered by the **original, underlying loan** — not the 241(a) itself. This means that if the underlying HUD mortgage is a 223(f), which does not trigger Davis-Bacon, then the 241(a) is also not subject to Davis-Bacon wages — even though the 241(a) is financing ground-up construction of new units.

Practically, this means a developer can build a new phase of multifamily units using HUD construction financing at 90% LTC without paying prevailing wages, as long as the existing mortgage on the first phase was a 223(f). A comparable new construction project going through the 221(d)(4) would carry the full Davis-Bacon burden the entire way through — on labor costs that on a large project can run well into the millions above market rates.

For sponsors evaluating phased development who have — or are planning to do — a 223(f) on an existing asset, the combination of 90% LTC, 1.11x combined DSCR, and no Davis-Bacon is a very different deal than anything a conventional lender can offer.

04

WHY IT WASN'T USED BEFORE

Why the HUD 241(a) Was Underutilized — *and What Changed*

For most of the 241(a)'s history, using it to build new units on a neighboring parcel was, in fact, too good to be true. The core obstacle was the mortgage securitization structure. Because the 241(a) is attached to an existing HUD-insured mortgage, adding a new parcel to the project means adding it to the legal description of the existing first mortgage's collateral. For loans that had already been securitized into Ginnie Mae mortgage-backed securities, amending the legal description to incorporate a new parcel was extraordinarily difficult — in most cases, effectively impossible without unwinding the securitization, which no lender or servicer was willing to do.

The practical effect was that the 241(a)'s new unit construction provision was only usable on projects that had excess density available on the existing parcel — meaning you could build additional units within the existing site without needing to add a new parcel to the mortgage. That's a rare situation. Most developed multifamily sites are at or near their allowable density. So sponsors who wanted to build more units were back to the 221(d)(4), a bank construction loan, or nothing.

Some legal work was done a few years ago that fixed the problem. The mechanism allows existing securitized HUD mortgages to be amended to add new parcels to the collateral description without unwinding the securitization. It is now accepted by HUD, MAP lenders, and Ginnie Mae, and has been used on closed transactions. It is not a workaround — it is part of the standard 241(a) origination process for multi-parcel deals.

> **FROM THE UNDERWRITING DESK**
>
> Brian underwrote 241(a) loans at a prior firm, but in the context of capital improvements — the classic use case before the securitization issue was resolved. The new unit construction application is a more recent development. If you have looked at the 241(a) in the past and concluded it wasn't usable for new construction on a separate parcel, that conclusion should be revisited.

05

WHAT SPONSORS NEED TO KNOW

HUD 241(a) Structure: Borrower Entity, Loan Term, *and Key Requirements*

The 241(a) requires an existing HUD mortgage, a borrowing entity structured to hold both phases, and a site that can support additional units. Beyond those, there are a few things sponsors should understand about how the 241(a) is structured before deciding whether it's the right fit. Most of them flow from the fact that HUD treats the existing asset and the new phase as a single project with a single borrower.

Single borrower entity. Because HUD treats both phases as one asset, they have to be held by the same borrowing entity. If your organizational structure uses separate single-asset entities for each project — which is common when you have LP investors — the 241(a) will require the existing entity to take ownership of the new phase as well. Depending on your operating agreement and investor documents, this may require amendments before the 241(a) can close, so it's worth identifying during the screening phase rather than at closing.

Co-terminous loan term. The 241(a) term runs co-terminous with the remaining term on the existing underlying mortgage. If the underlying 223(f) has 28 years left, the 241(a) will have a 28-year term — not 40. If maximizing the amortization period matters for your return analysis, the timing of when you close the 241(a) relative to the underlying loan's origination date is worth thinking about.

Working capital and initial operating deficit escrows. Like the 221(d)(4), the 241(a) requires a working capital escrow and an initial operating deficit escrow at closing. These are sized based on the new phase and are separate from any replacement reserve or other escrow requirements on the existing mortgage.

Land equity as a source. Land equity can be used as a source of funds in the 241(a) sources and uses. If you've controlled the neighboring parcel for several years, the appreciated value of that land directly reduces your cash equity requirement — which can push effective leverage well above the 90% LTC headline figure.

Site proximity and scattered sites. HUD doesn't specify a maximum distance between the existing property and the new construction site, and has approved scattered-site configurations in certain circumstances, though scattered-site approval is not automatic and requires HUD's affirmative acceptance. If your new phase is at a meaningful distance from the existing asset, talk to us before you structure the deal around that assumption.

06

HOW IT WORKS IN PRACTICE

HUD 241(a) with a 223(f): *A Phased Development Walk-Through*

Below is a practical example of how this could work, using realistic program parameters.

ILLUSTRATIVE EXAMPLE — PHASED DEVELOPMENT

1. A developer builds 175 units on a site using conventional bank construction financing at 75% LTC. Davis-Bacon wages are not required under the bank loan. The project completes and stabilizes.

2. After stabilization, the developer refinances the bank construction loan with a HUD 223(f) at 80% LTV, generating approximately $4 million in cash-out proceeds. Because the underlying loan is a 223(f), it does not carry Davis-Bacon applicability.
3. The developer controls a neighboring parcel and starts the 241(a) application for an additional 175 units on the adjacent site. The 241(a) sizes at 90% LTC — say a $30 million construction cost — resulting in an equity requirement of approximately $3 million.
4. The developer uses the $4 million cash-out from the 223(f) to fund the $3 million equity requirement, retaining $1 million as a reserve. The 241(a) closes, construction begins on Phase 2, and Davis-Bacon wages don't apply because the underlying 223(f) isn't subject to them.
5. At stabilization of Phase 2, the combined DSCR is tested across both the 223(f) and the 241(a). The excess NOI the well-stabilized Phase 1 was already generating above its own 1.11x threshold counts toward satisfying the combined coverage test for Phase 2.

The developer ends the sequence with $1 million of the original 223(f) cash-out still in hand and a completed Phase 2 with no Davis-Bacon wages and 90% LTC HUD financing. While not every project has empty lots nearby that are controlled by the sponsors, more and more developers are using phased approaches — and in those cases, the 241(a) is a product that should be on everyone's radar.

07
FAQ

Frequently Asked *Questions*

What is a HUD 241(a) loan?

The HUD Section 241(a) is a supplemental loan that provides financing for improvements or additions to properties that already carry a HUD-insured first mortgage. Unlike Fannie Mae or Freddie Mac supplemental loans, which allow equity cash-out, the 241(a) proceeds must be used to improve or expand the existing collateral. Its most powerful feature is that it allows ground-up construction of additional units — up to as many units as exist in the current building — at 90% loan-to-cost with a 1.11x combined DSCR.

HUD 241, 241a, or 241(a) — which is correct?

They're the same program. The statutory reference is Section 241(a) of the National Housing Act, so the correct written form is 241(a) — that's what appears in the MAP Guide and in HUD's own documents. On the lender side we shorten it to 241a in emails and term sheets, but never to a bare 241; that shorthand shows up on the borrower side. Whichever form you've seen, it refers to the same supplemental loan program.

What is the maximum LTC for a HUD 241(a) loan?

The HUD 241(a) supplemental loan allows up to 90% loan-to-cost (LTC), which is higher than the 87% maximum available under the HUD 221(d)(4) new construction program for market-rate projects. Land equity may also be used as a source of funds, which can effectively increase leverage beyond the 90% headline figure.

Does the HUD 241(a) loan require Davis-Bacon wages?

Davis-Bacon applicability under the HUD 241(a) is inherited from the underlying HUD mortgage, not determined by the 241(a) itself. If the existing first mortgage is a HUD 223(f) refinance — which does not trigger Davis-Bacon — then the 241(a) is also exempt from Davis-Bacon prevailing wage requirements, even though the 241(a) is financing ground-up construction of new units.

Can a HUD 241(a) loan be used to build new units on a separate parcel?

Yes. Following legal work completed in recent years that resolved a mortgage securitization barrier, HUD 241(a) loans can now be used to finance construction of additional units on neighboring or adjacent parcels. The new parcel is added to the legal description of the existing HUD mortgage's collateral. The number of new units cannot exceed the unit count of the existing building.

How does the DSCR work on a HUD 241(a) loan?

The minimum DSCR on a HUD 241(a) is 1.11x, but it is calculated on a combined basis across both the existing HUD first mortgage and the new 241(a) loan. This means excess NOI generated by the existing stabilized property above the 1.11x threshold on its own debt service can be applied toward satisfying the coverage test for the new construction phase.

What is the loan term on a HUD 241(a)?

The HUD 241(a) loan term is co-terminous with the remaining term on the existing underlying HUD mortgage. If the underlying 223(f) has 28 years remaining, the 241(a) will have a 28-year term rather than a fresh 40-year term.

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HUD/FHA Multifamily Origination

Centennial Mortgage, Inc. is an approved HUD/FHA Multifamily Accelerated Processing (MAP) lender. All loan programs subject to HUD/FHA guidelines, approval, and availability. This white paper is for informational purposes only and does not constitute a commitment to lend or legal or financial advice. Program parameters including LTC limits, DSCR requirements, and Davis-Bacon applicability are subject to HUD guidelines and individual transaction analysis. Wim Roach & Brian Lorenz are loan originators with Centennial Mortgage, Inc.